

Americas Healthcare: Pharmaceuticals: Illustrative Impact Analysis and Company Commentary on CMS Proposed Rule

We have been receiving inbounds regarding the CMS proposed rule on the Medicare Drug Price Negotiation Program, which would, in addition to formally codifying policies previously implemented under the IRA, look to consider formulations with two or more active moieties/ingredients or vaccine antigen components as one for purposes of negotiation eligibility. Combinations with hyaluronidase are specifically called out, suggesting potential implications for MRK's Keytruda Qlex, BMY's Opdivo Qvantig, and JNJ's Darzalex Faspro — contributing to slight underperformance (MRK -2.8%, JNJ -2.2%, BMY -1.6% vs DRG -1.3%, XLV -0.6%). We note this issue was raised last year, as the CMS draft guidance for the IPAY 2028 class included a paragraph around fixed combinations — however this clause was removed in the final guidance. Within, we refresh our illustrative impact analysis for including these SC drugs in the 2029 IRA price negotiations, which implies a theoretical minimal low-single digit EBIT impact for these companies in 2029/2030.

Company responses to the proposal are largely consistent with prior commentary. **JNJ** notes that their position on Darzalex has not changed — consistent with what the company has shared previously, they do not expect IRA price setting for Darzalex Faspro before 2034. **BMY** noted the development is not unexpected, and that the company disagrees and is mobilized and will make their thoughts known during the comment period. **MRK**, while concerned about the precedent the rule sets, and will continue to engage with CMS through the comment period, notes that regardless of whether Keytruda Qlex is included in IRA negotiations, the company does not expect a material financial impact, and have always stated their pricing strategy for Keytruda Qlex will take into account the likelihood that IV Keytruda will be subject to IRA price setting beginning in 2029, and the likely entry of biosimilars in December 2028. Based on the latest draft guidance issued by the CMS, MRK anticipates Keytruda IV and Keytruda Qlex will be subject to IRA price negotiation with an effective date of January 2029. (Given the earliest anticipated biosimilar competition for KEYTRUDA is December 2028, when the compound patent expires, at this time, MRK does not anticipate that biosimilar competition will preclude KEYTRUDA from being subject to IRA negotiation.) With regard to MRK, given their Keytruda Qlex pricing strategy is messaged by the company to be consistent irrespective of price negotiation, we see the possibility that inclusion could theoretically create a tailwind from an access/ coverage perspective.

On next steps, there is a 60-day comment period (through August 17), after which during Fall 2026 CMS plans to issue the final rule for initial price applicability years

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(IPAY) 2029 and beyond, and February 1, 2027 is the deadline for CMS to publish the list of up to 20 drugs payable under Part B and/or covered under Part D for negotiation.

Illustrative Impact Analysis

To contextualize and quantify the potential impact of subcutaneous formulation inclusion for IPAY 2029, we update our prior illustrative analysis. Limitations of this analysis include (1) assumption that price impact only applies to the US Medicare and there is no follow through to commercial or other segments; (2) our estimated net price discount of 36% is based on the approximate average discount from the IPAY 2027 class and could be higher, and (3) the latest CMS drug spending data is from 2023, on which we base our estimate of percent Medicare exposure, and this number could be a different percentage today or at the time of impact.

Based on the latest available 2023 CMS drug spending data, Medicare represented ~45% of JNJ's Darzalex sales (Darzalex + Darzalex Faspro) and ~37% for BMY's Opdivo and MRK's Keytruda. (Note, these exposure figures may have changed.)

Exhibit 1: Estimated Medicare Exposure Based On CMS 2023 Medicare Part B and Part D Spending \$ in mn

Company	Drug	2023 Sales/Medicare Spending (\$ mn)			Medicare Exposure
		US Sales	Medicare Part D Spending	Medicare Part B Spending	
JNJ	Darzalex + Darzalex Faspro	\$5,277	\$86	\$2,298	45.2%
MRK	Keytruda	\$15,114	\$117	\$5,434	36.7%
BMY	Opdivo	\$5,283	\$51	\$1,910	37.1%

Source: Company data, CMS, Goldman Sachs Global Investment Research

JNJ's Darzalex Faspro:

- We apply the 36% net price discount to the estimated US portion of Darzalex Faspro sales exposed to Medicare (~45%, per above). With these assumptions we calculate ~\$1.9bn sales impact per year in the 2029-2030 time frame, which represents ~9% of our estimated total Darzalex sales, ~1.4% of total JNJ sales, and ~4% of JNJ total adjusted EBIT.

Exhibit 2: JNJ's Darzalex: Illustrative Incremental Impact of Potential Darzalex Faspro Inclusion in IRA

\$ in mn

JNJ's Darzalex - GS estimates	2029	2030
Before Darzalex Faspro inclusion in IRA:		
US Sales:	\$12,031	\$12,151
of which Darzalex Faspro (SC):	\$11,429	\$11,544
of which Medicare	\$5,162	\$5,214
of which non-Medicare	\$6,267	\$6,330
of which Darzalex (IV)	\$602	\$608
OUS Sales:	\$8,420	\$8,504
Total Darzalex Sales (IV+SC)	\$20,451	\$20,656
Illustrative Darzalex Faspro inclusion in IRA:		
US Sales:	\$10,173	\$10,274
of which Darzalex Faspro (SC):	\$9,571	\$9,667
of which Medicare	\$3,304	\$3,337
of which non-Medicare	\$6,267	\$6,330
of which Darzalex (IV)	\$602	\$608
OUS Sales:	\$8,420	\$8,504
Total Darzalex Sales (IV+SC)	\$18,593	\$18,779
Total Darzalex Sales Impact:		
\$ Impact	-\$1,858	-\$1,877
% Impact	-9.1%	-9.1%
Whole Co. Sales (GS)		
\$ Impact % of Whole Co.	-1.4%	-1.3%
Whole Co. Adj. EBIT (GS)		
\$ Impact % of Whole Co.	-4.0%	-3.8%

Source: Goldman Sachs Global Investment Research

MRK's Keytruda Qlex:

- We apply the 36% net price discount to the estimated US portion of Keytruda Qlex sales exposed to Medicare (~37%, per above). With these assumptions we calculate ~\$900mn sales impact per year in the 2029-2030 time frame, which represents ~3% of our estimated total Keytruda sales, 1.3% of total MRK sales, and 3.0% of MRK total adjusted EBIT.

Exhibit 3: MRK's Keytruda: Illustrative Incremental Impact of Potential SC pembrolizumab Inclusion in IRA

\$ in mn

MRK's Keytruda - GS estimates	2029	2030
Before SC Keytruda inclusion in IRA:		
US Sales:	\$15,079	\$10,612
of which SC Keytruda:	\$6,925	\$6,424
of which Medicare	\$2,543	\$2,359
of which non-Medicare	\$4,382	\$4,065
of which Keytruda (IV)	\$8,154	\$4,188
OUS Sales:	\$14,372	\$14,151
Total Keytruda Sales (IV + SC)	\$29,451	\$24,763
Illustrative SC Keytruda inclusion in IRA:		
US Sales:	\$14,164	\$9,763
of which SC Keytruda:	\$6,010	\$5,575
of which Medicare	\$1,628	\$1,510
of which non-Medicare	\$4,382	\$4,065
of which Keytruda (IV)	\$8,154	\$4,188
OUS Sales:	\$14,372	\$14,151
Total Keytruda Sales (IV + SC)	\$28,536	\$23,914
Total Keytruda Sales Impact:		
\$ Impact	-\$916	-\$849
% Impact	-3.1%	-3.4%
Whole Co. Sales (GS)		
\$ Impact % of Whole Co.	-1.3%	-1.2%
Whole Co. Adj. EBIT (GS)		
\$ Impact % of Whole Co.	-3.0%	-2.7%

Source: Goldman Sachs Global Investment Research

BMJ's Opdivo Qvantig:

- We apply the 36% net price discount to the US Opdivo Qvantig sales exposed to Medicare (~37%, per above). With these assumptions we calculate ~\$270mn sales impact in the 2029-2030 time frame, which represents 4% of Opdivo sales, ~0.8% of total BMJ sales, and ~2.5% of BMJ total adjusted EBIT.

Exhibit 4: BMJ's Opdivo: Illustrative Incremental Impact of Potential Opdivo Qvantig Inclusion in IRA

\$ in mn

BMJ's Opdivo - GS estimates	2029	2030
Before Opdivo Qvantig inclusion in IRA:		
US Sales:	\$4,082	\$3,054
of which Opdivo Qvantig:	\$2,068	\$2,019
of which Medicare	\$768	\$750
of which non-Medicare	\$1,300	\$1,269
of which Opdivo (IV)	\$2,015	\$1,035
OUS Sales:	\$4,073	\$3,388
Total Opdivo Sales (IV + SC)	\$8,155	\$6,442

Illustrative Opdivo Qvantig inclusion in IRA:

US Sales:	\$3,806	\$2,784
of which Opdivo Qvantig:	\$1,791	\$1,749
of which Medicare	\$491	\$480
of which non-Medicare	\$1,300	\$1,269
of which Opdivo (IV)	\$2,015	\$1,035
OUS Sales:	\$4,073	\$3,388
Total Opdivo Sales (IV + SC)	\$7,879	\$6,172

Total Opdivo Sales Impact:		
\$ Impact	-\$276	-\$270
% Impact	-3.4%	-4.2%

Whole Co. Sales (GS)	\$36,089	\$35,853
\$ Impact % of Whole Co.	-0.8%	-0.8%

Whole Co. Adj. EBIT (GS)	\$11,187	\$11,294
\$ Impact % of Whole Co.	-2.5%	-2.4%

Source: Goldman Sachs Global Investment Research

Valuation and Risks

JNJ:

Valuation: We arrive at our 12-month price target of \$275 based on a 20x P/E multiple on our Q5-Q8 EPS.

Key downside risks: The ramp of new products could be slower than we expect, resulting in less revenue to replenish declining products. Further uncertainty related to the Talc litigation could result in higher-than-expected payouts and hamper multiples. A more-difficult-to-navigate external environment related to macro and tariffs could create downside to our estimates.

MRK:

Valuation: We arrive at our 12-month target of \$137 using a 14.0x multiple on our (Q5-Q8) adjusted EPS.

Key Downside Risks: Faster-than-expected erosion of the Keytruda LOE / lower than expected conversion to SubQ Keytruda. Further slowdown in established vaccine products, slower ramp of newly launched products, and regulatory uncertainty. Disappointments from pipeline assets. Tougher-than-expected regulatory/market environment related to vaccines, FDA, and tariffs, and M&A.

BMY:

Valuation: We derive our 12-month price target of \$61 through a 10.0x multiple on our Q5-Q8 EPS estimates.

Key upside risks: Commercial — higher than expected revenue growth from the growth portfolio (Cobefny, Camzyos, Reblozyl, Opdualag, Breyanzi) could create upside to our estimates. Additionally, signs of better than expected durability of the legacy portfolio could create further upside. Financial — better than forecast negative impact to legacy business revenues based on LOEs and IRA implementation as well as more significant flow-through of cost-cutting efforts could create upside to our earnings estimates. Clinical/Regulatory — stronger than expected outcomes from key pipeline programs (e.g. Cobefny in Alzheimer's disease psychosis, milvexian in SSP and AF) could lead to both upward revisions to our medium-long-term estimates and expansion of multiples.

Key downside risks: Commercial — slower than expected revenue growth from the Growth portfolio (Cobefny, Camzyos, Reblozyl, Opdualag, Breyanzi) as well as the legacy portfolio eroding at a faster pace could result in downside to our estimates. Financial — greater than forecast negative impact to base business revenues based on LOEs and IRA implementation could result in significant downside to our estimates. Clinical/Regulatory — negative outcomes from key pipeline programs (e.g. Cobefny in Alzheimer's disease psychosis, milvexian AF) could create downside to our estimates.

Disclosure Appendix

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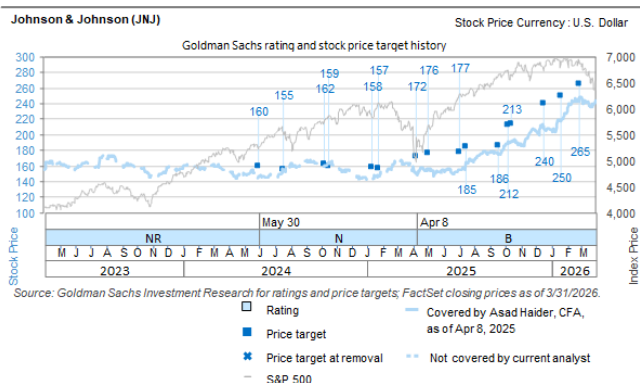
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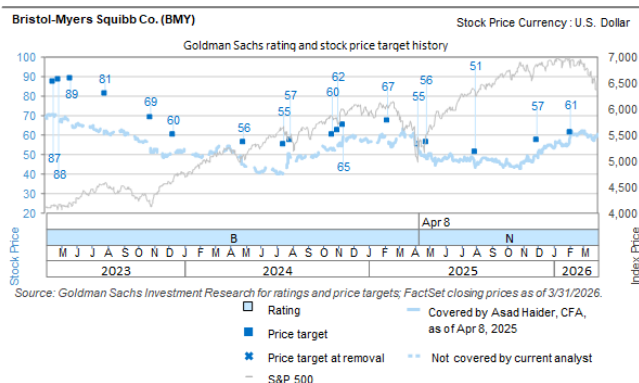
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	Buy	Hold	Sell	Buy	Hold	Sell
	50%	34%	16%	65%	60%	45%

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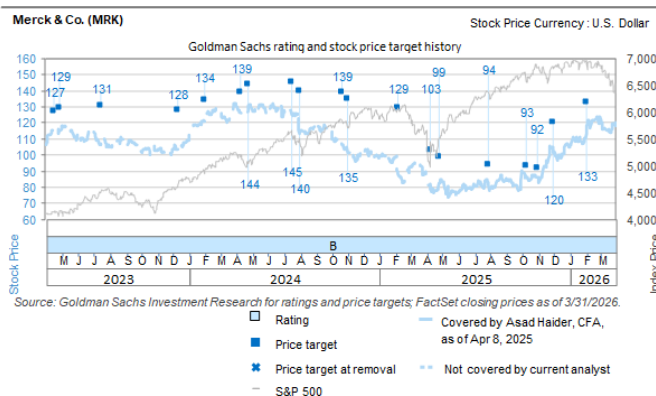
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Target price history table(s)

Merck & Co. (MRK)

Date of report	Target price (\$)	Closing price (\$)
01-May-26	137.00	112.16
04-Feb-26	133.00	118.33
01-Dec-25	120.00	101.83
31-Oct-25	92.00	85.98
10-Oct-25	93.00	85.99
30-Jul-25	94.00	81.75
25-Apr-25	99.00	82.74
08-Apr-25	103.00	78.95
05-Feb-25	129.00	89.67
01-Nov-24	135.00	101.88
21-Oct-24	139.00	106.34
31-Jul-24	140.00	113.13
16-Jul-24	145.00	125.44

Bristol-Myers Squibb Co. (BMY)

Date of report	Target price (\$)	Closing price (\$)
06-Feb-26	61.00	61.99
01-Dec-25	57.00	49.18
01-Aug-25	51.00	44.23
25-Apr-25	56.00	47.90
08-Apr-25	55.00	53.07
07-Feb-25	67.00	56.85
12-Nov-24	65.00	59.02
01-Nov-24	62.00	54.32
21-Oct-24	60.00	52.12
29-Jul-24	57.00	48.98
16-Jul-24	55.00	41.20
29-Apr-24	56.00	44.64
11-Dec-23	60.00	51.09

Merck & Co. (MRK)

Date of report	Target price (\$)	Closing price (\$)
26-Apr-24	144.00	131.20
11-Apr-24	139.00	126.15
02-Feb-24	134.00	126.41
11-Dec-23	128.00	104.37
18-Jul-23	131.00	105.95

Bristol-Myers Squibb Co. (BMY)

Date of report	Target price (\$)	Closing price (\$)
27-Oct-23	69.00	51.02
28-Jul-23	81.00	61.41

Johnson & Johnson (JNJ)

Date of report	Target price (\$)	Closing price (\$)
15-Apr-26	275.00	238.67
27-Feb-26	265.00	248.43
22-Jan-26	250.00	218.49
18-Dec-25	240.00	208.31
15-Oct-25	213.00	191.17
08-Oct-25	212.00	189.69
19-Sep-25	186.00	176.19
17-Jul-25	185.00	162.98
03-Jul-25	177.00	156.01
02-May-25	176.00	156.12
08-Apr-25	172.00	150.00
23-Jan-25	157.00	146.64
10-Jan-25	158.00	142.06
16-Oct-24	159.00	164.28
08-Oct-24	162.00	159.69
18-Jul-24	155.00	155.42
30-May-24	160.00	145.28

Price targets shown in table(s) are unadjusted for corporate actions.

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